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Managerial Economics
Question Bank.

Answer (A)

Write the following Questions in (20 to 50) words (5 marks)

Q1 Why do economists make assumptions?
Q2. Explain the scope of Micro economics?
Q3 Explain the nature & scope of Macro economics
Q4. What are key features of managerial economics such as being microeconomic in character & prescriptive in nature?
Q5 How does managerial economics helps in decision making?
Q6. Does the change in producers technology lead to movement along Supply curve or a shift in Supply curve Does a change in price lead to movement along Supply curve or shift in Supply Curve
Q7 Define Price elasticity of demand. Explain ~~the~~ its determinants.
Q8 Draw the various types of price elasticities & explain
Q9 Explain explicit and implicit cost
Q10 What is relationship between firm's Total revenue, profit and total cost?
Q11 Give an example of opportunity cost.
Q12 What is difference between economies of scale and diseconomies of scale.
Q13 ~~how~~ what is Price discrimination? what are essential Conditions
Q14 Explain Dumping with help of diagram
Q15 Explain characteristics of Oligopoly.
Q16 Explain Relation between Average & marginal cost

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Section (A)

Q17 What is difference between nominal GNP and real GNP

Q18 What is Green GNP

Q19 What is difference between gross domestic product & net domestic product.

Q20 Calculate ~~GNP~~ NNP_{MP} & NNP_{FC} What is the difference

Q21. How is national income measured?

Q22 What is difference between stock and flow.

Q23 What is difference between cross section & time series data

Q24 What is inflation? ~~Exp~~ What is present inflation rate.

Q25. What is impact incidence & shifting of Taxation? In case of income tax and Custom duty who bears the impact and incidence

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Section (B) (50–100 words)

Q1. Draw & explain the circular flow of income ?
Q2 Why does Monopoly arises, draw monopolist demand curve and show the profit maximisation
Q3. Explain the law of variable proportions
Q4. Explain the characteristics of Monopolistic Competition & the equilibrium depicting the normal profit
Q5. What are measures of exchange control ?
Q6 What is difference between Macro and micro economics
Q7 Explain Balance of payment.
Q8 Explain M_1 M_2 M_3 M_4 various measures of money supply
Q9 Explain ~~various~~ exchand rates ? what are India's ~~major~~ current exchange rates (any 5)
Q10 What are current features of Fiscal Policy ?
Q11 Explain Monetary Policy ?
Q12 Explain current GST reforms.
Q13 Explain any two major Schemes of Central govt to overcome unemployment.
Q14 Explain Keynes Theory of income determination
Q15 What is devaluation ? In Indian economy when devaluation was done.
Q16 What were the chief features of economic reforms of 1991 in India
Q17. Why is Trump indiscriminately slapping Tariffs on countries around the world? Are his actions legal.
Q18 What happened in India in year 2025?

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(Section C)

Q1

Price	4	5	6	7	8	9
Q_D	135	104	81	68	53	39
Q_S	26	53	81	98	110	121

(a) Graph the demand & supply curves what is the equilibrium price & Qty in this market.

Q2. Consider the following cost information for Burger

Qty	0	1	2	3	4	5	6
TC	Rs 300	350	390	420	450	490	540
TVC	0	50	90	120	150	190	240

(a) Calculate the fixed cost?
(b) Calculate marginal cost ?
(c) Calculate average variable cost, avg. fixed cost & average cost.

Q3.

Q	1	2	3	4	5	6	7	8
P	6	6	6	6	6	6	6	6

(a) Calculate TR, AR, MR
(b) Which market does it depicts write its characteristics

Q4

Q	0	1	2	3	4	5	6	7	8
TR	0	6	12	18	24	30	36	42	48
TC	3	5	8	12	17	23	30	38	47

Calculate Profit, MR MC find, the equilibrium

Q5 Suppose price of commodity falls from Rs 6 to Rs 4 per unit & due to this Qty demanded of commodity increases from 80 units to 120 units Find price elasticity of demand (Ans-1)

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Q6 Calculate national income & personal disposable income from following information

GDPmp	6000
Receipts of factor income from rest of world →	150
Payment of factor income from rest of world →	225
Depreciation	800
Indirect tax minus Subsidy	700
Corporate profit	1200 } Retained profit
Dividend	600 }
Transfer Payment	1300
Personal Tax	1500

National income or NNP_{FC} =

GDPmp − depreciation − Net indirect taxes + Net factor income from abroad

6000 − 800 − 700 + (150 − 225)

6000 − 1500 ÷ 75

= 6000 − 1575 = 4425

Personal income = NNP_{FC} − Retained Corporate profit + Transfer Payment

= 4425 − (1200 − 600) + 1300

= 5725 − 600 = 5125

PDI = Personal income − Personal Tax

5125 − 1500 = 3625

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Section C

Q7. Calculate NNP_{FC} (in crores)

- Compensation of employees 700
  Rent 200
  Interest 250
  Profit 400
  Mixed Income of self employed 300
  Net factor income from abroad 30
  Depreciation 90

$GDP_{FC} = 700 + 200 + 250 + 400 + 300 = 1850$

$NDP_{FC} = GDP_{FC} - D = 1850 - 90 = 1760$

$NNP_{FC} = NDP_{FC} + NFIA = 1760 + 30 = 1790$

Q8 Calculate ~~NNP~~ GDP_{FC}

Wages 600
Rent 200
Interest 250
Profit 300
Mixed income of self employed 400
NFIA = 70
Net indirect Tax 120
Depreciation 80

$GDP_{FC} = 600 + 200 + 250 + 300 + 400 = 1750$

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